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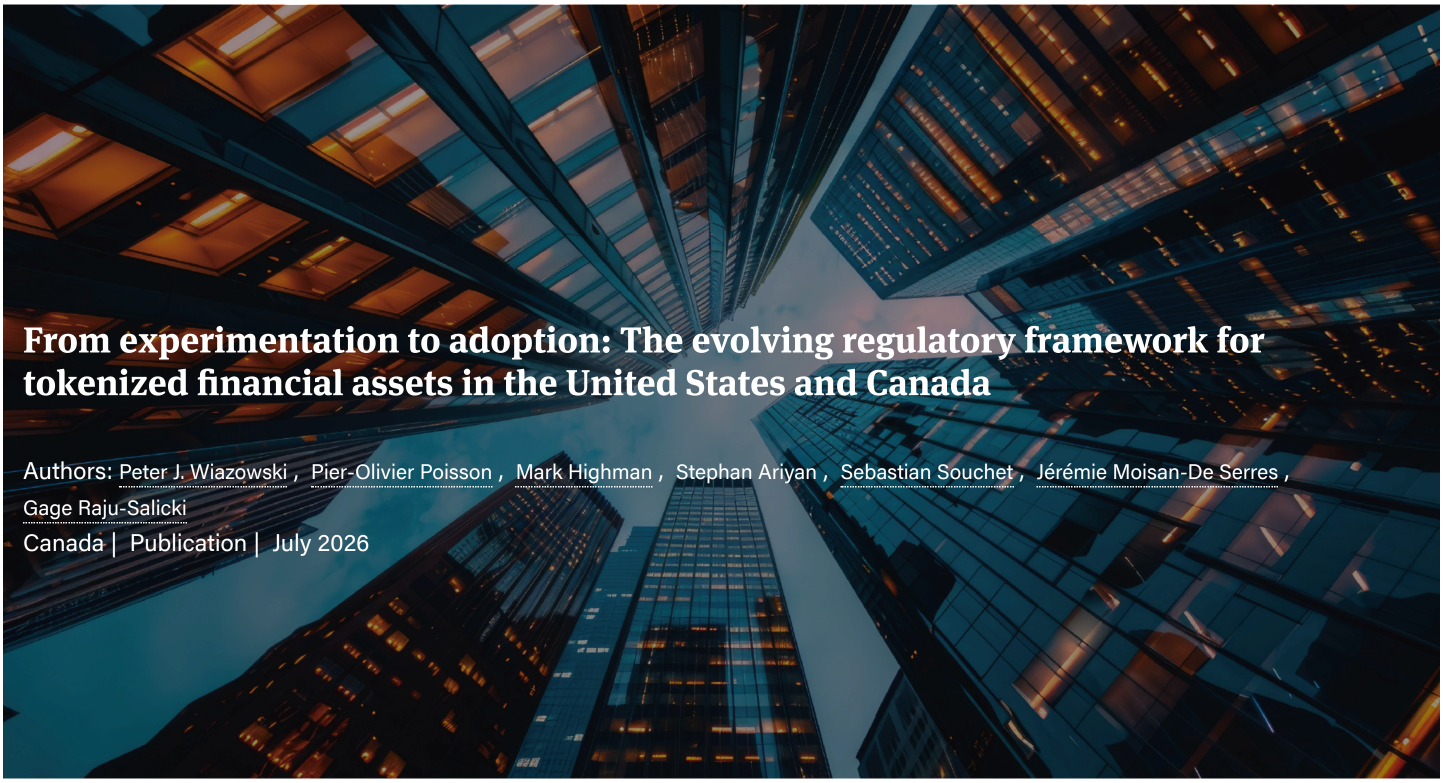

From experimentation to adoption: The evolving regulatory framework for tokenized financial assets in the United States and Canada

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The tokenization of financial assets is rapidly moving from experimentation to early commercial adoption. Across global capital markets, issuers, financial institutions, market infrastructure providers and regulators are grappling with how to harness the potential efficiencies of tokenization while managing the novel risks it introduces.

This legal update surveys recent key developments shaping the tokenization landscape in the United States and Canada, and provides a comparative analysis between both regimes.

I. Tokenization: Concept and use cases

Tokenization refers to the creation, issuance or representation of financial assets on a digital token ledger or programmable platform using distributed ledger technology (DLT). By encoding assets as digital tokens, tokenization seeks to enable features such as (i) fractionalization, by dividing assets into smaller and more accessible units, (ii) programmability, by embedding automated logic governing asset-related actions, (iii) composability, by combining instructions to create new products, (iv) and atomicity, by enabling multiple transaction steps to be executed simultaneously.

Advocates of tokenization suggest that these features could deliver efficiencies across the issuance, settlement and servicing of financial assets. However, the ecosystem remains nascent, and a number of regulatory and structural questions continue to shape its development.

a) Project Samara

Project Samara stands out as a landmark Canadian initiative illustrating the potential applications of tokenization. This collaborative experimental research project evaluated the use of DLT to support end-to-end transactions across the bond lifecycle. Led by the Bank of Canada (BoC), the project brought together participating financial institutions and a Crown corporation to test the issuance, bidding, coupon payments, redemption and secondary trading of tokenized bonds, as well as the atomic settlement of trades.

A particularly notable feature of Project Samara was the use of W-CAD, a digital representation of wholesale Canadian dollars created and managed by the BoC on the distributed ledger. The use of W-CAD as a settlement mechanism is significant in the broader context of emerging Canadian policy on digital currencies, including the stablecoin provisions discussed in our previous bulletin on Budget 2025 and Financial Institutions, which materialized into the *Stablecoin Act*. This act is expected to enhance confidence in the use of fiat backed stablecoins as a means of payment and could facilitate the settlement of transactions involving tokenized financial assets.

Project Samara demonstrated that DLT can facilitate faster settlement cycles, reduce reconciliation processes, increase transparency of ownership and enable the automation of key workflows through programmable logic. Importantly, the accompanying research paper identified several factors limiting broader adoption of DLT-based capital markets infrastructure, such as new operational risks and potential adoption barriers. It concluded that hybrid models combining DLT with centralized oversight are emerging as the most practical near-term approach. Outstanding questions remain, particularly with respect to governance frameworks and the capacity of existing securities regulation to accommodate DLT-based systems at scale.

II. Recent developments in the United States

a) Federal banking agencies' guidance on capital treatment of tokenized securities

On March 5, 2026, the Board of Governors of the Federal Reserve System, the Office of the Comptroller of the Currency and the Federal Deposit Insurance Corporation (collectively, the Federal Banking Agencies) published guidance, in the form of responses to frequently asked questions (FAQs), addressing the regulatory capital treatment of tokenized securities under capital regulations applicable to banking organizations under their respective risk-based capital rules (the Capital Regulations). The FAQs confirmed that the Federal Banking Agencies' Capital Regulations are technology-neutral and that an "eligible tokenized security"—*i.e.* a tokenized security that, under applicable law, confers legal rights identical to those of the non-tokenized form of the security—should generally receive the same capital treatment under the risk-based Capital Regulations as the non-tokenized form of such security. The Federal Banking Agencies also clarified that an eligible tokenized security may qualify as "financial collateral" for purposes of the Capital Regulations if it satisfies the applicable definition and related requirements, and that the Capital Regulations do not provide differentiated treatment on the basis of whether a blockchain is permissioned or permissionless.

b) Commodity Futures Trading Commission guidance on tokenized collateral

On December 8, 2025, the staffs of the Commodity Futures Trading Commission's (CFTC) Market Participants Division (MPD), Division of Market Oversight (DMO), and Division of Clearing and Risk (DCR) issued CFTC Staff Letter No. 25-39, providing guidance on the use of tokenized assets as collateral in the trading of futures and swaps (the Tokenized Collateral Guidance). The guidance defines a tokenized asset as a digital representation of a real-world asset, such as a US Treasury or agency security, corporate bond, share in a money market fund or equity security, that has been recorded on a blockchain as a digital token. It takes a technology-neutral approach, confirming that the use of DLT to tokenize an asset need not change the asset's fundamental characteristics, and that no CFTC regulation requires any particular technology or operational infrastructure to transfer or hold eligible collateral.

The Tokenized Collateral Guidance, as NRF has previously examined, addresses five areas of regulatory concern: (i) eligible tokenized assets, encouraging market participants to focus on assets already eligible to serve as regulatory margin under certain CFTC regulations, and to consider whether the tokenized form provides legal and economic rights that are the same or functionally equivalent to the rights conferred by the asset in traditional form; (ii) legal enforceability, requiring that non-cash collateral be supported by a well-founded, transparent and enforceable legal framework as contemplated under certain CFTC regulations; (iii) segregation, custody and control arrangements, including the use of eligible custodians and demonstration of perfected security interests; (iv) haircuts and valuation, permitting application of the same risk-based haircut methodology used for the underlying asset, subject to adjustment for settlement-time differences or other differences in credit, market or liquidity risks; and (v) operational risks, including cybersecurity, access controls and interoperability.

Concurrently, MPD issued CFTC Staff Letter No. 25-40 (subsequently reissued with limited revisions as CFTC Staff Letter No. 26-05), a no-action position under which MPD will not recommend enforcement against a CFTC-registered futures commission merchant (FCM) that accepts certain non-securities digital assets, including bitcoin, ether and payment stablecoins, as customer margin collateral or that deposits proprietary payment stablecoins as residual interest in segregated customer accounts, subject to such FCM complying with certain filing and reporting requirements, as well as applying certain derivatives clearing organization (DCO)-mandated or risk-based haircuts.

Taken together, the CFTC guidance and related no-action relief provide an initial pathway for the use of tokenized and certain digital assets as collateral in derivatives markets, while preserving existing requirements relating to eligible collateral, segregation, custody and control, valuation, haircuts and operational risk management.

c) Securities and Exchange Commission's staff statement on tokenized securities

On January 28, 2026, the staffs of the Securities and Exchange Commission's (SEC) Division of Corporation Finance, Division of Investment Management, and Division of Trading and Markets issued a joint statement setting forth their views on the application of the federal securities laws to tokenized securities (Staff Tokenization Statement). The Staff Tokenization Statement defines a tokenized security as a financial instrument enumerated in the statutory definition of "security" under the federal securities laws that is formatted as, or represented by, a crypto asset, and for which the record of ownership is maintained in whole or in part on or through one or more crypto networks.

The Staff Tokenization Statement organizes tokenized securities into two principal categories. Issuer-sponsored tokenized securities are those in which the issuer (or its agent) integrates DLT into its master securityholder file under the Securities Exchange Act of 1934 (the Exchange Act), either by issuing the security directly in the format of a crypto asset (the integration method) or by issuing the security in traditional book-entry form alongside a corresponding crypto asset whose transfer notifies the issuer (or its agent) to record the change of ownership offchain (the notification method). Third-party-sponsored tokenized securities, by contrast, are created by parties unaffiliated with the underlying issuer and generally take one of two forms: (i) a custodial structure, in which the token represents an indirect interest in an underlying security held in custody by the third party, or (ii) a synthetic structure, in which the third party issues a separate instrument providing synthetic exposure to a referenced security. The SEC staff cautioned that synthetic instruments may, depending on their terms, constitute security-based swaps under the Exchange Act, in which case, pursuant to the requirements under the Exchange Act and the Securities Act of 1933, they generally may not be offered or sold to non-eligible contract participants absent an effective registration statement and on-exchange execution.

The Staff Tokenization Statement effectively confirms that existing federal securities law obligations, including registration, disclosure, broker-dealer, exchange, clearing agency, transfer agent and antifraud requirements, apply regardless of whether ownership of a security is recorded onchain or offchain. For US market participants, the practical implication is that tokenization of securities does not displace the existing securities-law architecture—*i.e.* tokenized securities remain securities subject to the federal securities laws, synthetic tokenized exposure may implicate security-based swap requirements, and broker-dealer, exchange, transfer-agent, clearing-agency and custody rules remain central gating issues for scalable adoption of tokenized securities.

d) Nasdaq and DTCC tokenization initiatives

On September 16, 2025, Nasdaq Stock Market LLC filed a proposed rule change with the SEC to amend its rules to enable the trading of securities on the exchange in tokenized form. On March 9, 2026, Nasdaq announced an equity token initiative designed to facilitate tokenized equity ownership, governance and investor engagement, building on the earlier proposal.

Nasdaq contemplates settlement of equity tokens through The Depository Trust Company (DTC), a subsidiary of the Depository Trust and Clearing Corporation (DTCC). On December 11, 2025, the staff of the SEC's Division of Trading and Markets issued a no-action letter to DTC in connection with the development and launch of a preliminary version of DTC's voluntary securities tokenization program, referred to as the DTCC Tokenization Services. The no-action relief, which is based strictly on the facts and circumstances described in DTC's request letter and expires three years after launch of DTC's preliminary base version of its tokenized securities settlement service, addresses certain provisions of the Exchange Act. Under the program, DTC participants may elect to record their security entitlements in highly liquid securities, including U.S. Treasury securities, equities included in the Russell 1000 index and selected index-tracking exchange-traded funds, through tokens minted to participant-registered wallets on DTC-approved blockchains, while the underlying securities remain in DTC's custody and DTC continues to serve as a securities intermediary for purposes of Article 8 of the Uniform Commercial Code.

e) Broker-dealer custody of crypto asset securities

On December 17, 2025, the staff of the SEC's Division of Trading and Markets issued a Statement on the Custody of Crypto Asset Securities by Broker-Dealers, addressing the application of the "physical possession" requirements of Exchange Act Rule 15c3-3 (the Customer Protection Rule) to fully paid and excess margin digital asset securities. The statement identifies five circumstances in which the staff will not object to a broker-dealer deeming itself to have physical possession of a customer's crypto asset security. The five areas include: direct access and transfer capability; documented assessment of the relevant distributed ledger technology and network; exclusive control over private keys or equivalent access credentials; written policies, procedures, and controls for safeguarding access credentials; and incident-response/customer-protection procedures. The statement supplements the staff's May 2025 withdrawal of the 2019 Joint Staff Statement on Broker-Dealer Custody of Digital Asset Securities and the related Frequently Asked Questions Relating to Crypto Asset Activities and Distributed Ledger Technology issued by the SEC's Division of Trading and Markets. Taken together, such SEC guidance provides the staff's current views on the conditions under which broker-dealers may custody crypto asset securities consistent with certain requirements of the Customer Protection Rule.

f) SEC-CFTC coordination: Project Crypto, the memorandum of understanding, and the March 2026 joint interpretive release

On September 2, 2025, the staff of the SEC's Division of Trading and Markets and the CFTC's DMO and DCR issued a joint staff statement (the Project Crypto/Crypto Sprint Joint Statement), expressing their view that current federal law does not prohibit SEC-registered national securities exchanges (NSEs), CFTC-registered designated contract markets (DCMs) or CFTC-registered foreign boards of trade (FBOTs) from facilitating the trading of certain spot crypto asset products, including leveraged, margined or financed retail commodity transactions described in Section 2(c)(2)(D) of the Commodity Exchange Act.

On March 11, 2026, SEC Chairman Paul S. Atkins and CFTC Chairman Michael S. Selig signed a memorandum of understanding to facilitate joint SEC-CFTC coordination on issues of shared regulatory concern, including joint interpretations and rulemakings, modernization of clearing, margin and collateral frameworks, treatment of dually registered exchanges and intermediaries, and a fit-for-purpose framework for digital assets.

In addition, on March 17, 2026, the SEC and CFTC jointly issued an interpretive release addressing how the federal securities laws apply to certain crypto assets and related transactions (the Joint Crypto Interpretation). Specifically, the Joint Crypto Interpretation classifies crypto assets into five categories: digital commodities, digital collectibles, digital tools, stablecoins and digital securities, and articulates how the *Howey* test (the US Supreme Court's test to determine whether a contract, transaction or scheme is an investment contract, and therefore a security subject to the federal securities laws) applies to the various categories of crypto assets. Furthermore, the Joint Crypto Interpretation sets forth the SEC's views on when non-security crypto assets enter and exit investment contract territory, and addresses whether and when activities related to crypto assets—such as protocol mining, protocol staking, wrapping, and airdrops—may involve securities transactions subject to the federal securities laws. The CFTC also provided guidance that it, and its staff, will administer the Commodity Exchange Act consistently with the Joint Crypto Interpretation and clarified that certain non security crypto assets may fall within the definition of a "commodity" under the Commodity Exchange Act.

g) SEC guidance for crypto asset securities user interfaces

On April 13, 2026, the staff of the SEC Division of Trading and Markets issued guidance permitting entities to offer user interfaces that assist in preparing transactions in crypto asset securities without registering as a broker-dealer under Section 15(a) of the Exchange Act. The guidance applies to "Covered User Interface Providers"—*i.e.* software tools that, among other things, enable users to formulate and submit orders for transactions in crypto asset securities. Covered User Interface Providers that meet twelve conditions governing (i) the relationship between a Covered User Interface and its execution venues and users; (ii) permitted compensation for a Covered User Interface Provider; and (iii) a Covered User Interface Provider's compliance and supervisory infrastructure may rely on the guidance. However, the staff stated that entities performing any of the following functions fall outside the scope of the guidance: (i) negotiating transaction terms; (ii) soliciting specific securities transactions; (iii) making investment recommendations or providing advice; (iv) arranging for financing; (v) processing trade documentation; (vi) conducting independent asset valuations; (vii) holding, having access to, handling, managing or possessing user funds, securities or stablecoins; (viii) executing or settling transactions; or (ix) taking or routing orders. The SEC considers the guidance to be an "interim step" in the formulation of a regulatory regime for crypto asset securities, and the guidance will be withdrawn five years from the date of its issuance absent further SEC action.

III. Canadian regulatory developments and consultations

Canadian regulators have been progressively developing frameworks to address tokenization within the domestic market. At present, however, practical use cases remain limited, and regulatory certainty is still evolving.

While securities regulation falls under provincial and territorial jurisdiction in Canada, the Canadian Securities Administrators (CSA) functions as an umbrella organization that coordinates the country's provincial and territorial securities regulators to promote a largely harmonized regulatory regime nationwide. The CSA operates a "passport system," under which market participants can access multiple jurisdictions through a single principal regulator.

The CSA has also delegated certain regulatory functions to the Canadian Investment Regulatory Organization (CIRO), a self-regulatory organization responsible notably for the oversight of dealer members (*i.e.* broker-dealers). As crypto asset trading platforms (CTPs), which may custody clients' crypto assets, must be registered as investment dealers to operate in Canada, CIRO is playing an increasingly significant role in the crypto sector.

The Office of the Superintendent of Financial Institutions (OSFI) regulates federally regulated financial institutions (FRFIs), including banks and federal insurers, which may have exposures to crypto-assets, including tokenized assets.

Together, those three regulatory organizations are the principal authorities currently shaping the regulatory landscape for tokenization in Canada, addressing areas such as securities law, dealer oversight, custody arrangements and the prudential treatment of digital assets by financial institutions.

a) CSA tokenization in Canadian capital markets

The CSA has not yet developed a securities regulatory framework specific to tokenization, and its intervention remains at an early, consultative stage. To date, CSA members have only issued limited exemptive relief from regulatory requirements applicable to marketplaces and dealers for pilot projects, such as Samara.

The CSA continues to advance its work on tokenization through the CSA FinHub Collaboratory. On April 9 and June 11, 2026, the CSA hosted workshops in Calgary and Toronto, bringing together regulators and market participants. Attendees exchanged views on potential applications of tokenization, as well as on key challenges affecting the sector's development, particularly in relation to regulatory clarity, distribution, market architecture, settlement and competitiveness.

b) CIRO digital asset custody framework

On February 3, 2026, CIRO published guidance outlining its expectations for the custody of digital assets by dealer members operating CTPs. The framework distinguishes between crypto assets and tokenized versions of traditional financial instruments. Crypto assets refer to all digital assets that do not represent traditional financial assets or confer equivalent legal rights, including cryptocurrencies, protocol-based tokens and tokens linked to non-financial assets. In contrast, tokenized financial assets refer to digital assets that represent traditional financial instruments and confer rights equivalent to the underlying assets, such as equities, debt, deposits and other financial instruments. Tokenized financial assets remain subject to existing legislation and rules, including securities law, banking law and payments law, as the digital wrapper does not change the underlying ownership structure, rights to cash flows, priority in insolvency or treatment under existing custody legislation.

Dealer members may either rely on external custodians or self-custody tokenized assets, provided they have obtained approval as an Approved Tokenized Asset Custody Location (ATACL). In order to obtain this designation, they must: (i) qualify as an Acceptable Securities Location (ASL) under IDPC Rule 4342 and General Notes and Definitions in Form 1; (ii) maintain policies and procedures for securing digital assets; (iii) provide SOC 2 or ISAE 3000 (Type 2) assurance covering security, availability, confidentiality and processing integrity; (iv) enter into custody agreements enforceable in the custodian's jurisdiction with digital-asset-specific protections; and (v) maintain required insurance coverage. CIRO also retains discretion to impose additional safeguards where warranted by the nature, scale and risk profile of the custody arrangement.

The distinction between dealer members' holding of crypto assets and tokenized financial assets is further illustrated by CIRO's framework regarding those assets. Dealer members may self-custody up to 20 per cent of the value of crypto assets held for clients or on their own account. In contrast, dealer members may self-custody tokenized assets without limits, provided they have obtained approval as an ATACL. CIRO determined that imposing separate crypto-style custody limits for tokenized assets would create unnecessary regulatory asymmetry, given that the underlying financial instrument can already be custodied by ASLs without custodial limits.

CIRO staff will consider appropriate transition arrangements for dealer members operating CTPs on a case-by-case basis, having regard to proportionality, existing custody arrangements and the nature, scale and risk profile of the member's crypto asset activities. The custody requirements for tokenized assets apply to all dealer members that hold or offer tokenized assets to clients, regardless of whether the dealer member operates a CTP. CIRO has indicated that this interim framework may inform the development of permanent rules as the market evolves.

c) OSFI's prudential framework for crypto-asset exposures

On February 20, 2025, OSFI published the *Capital and Liquidity Treatment of Crypto-asset Exposures (Banking) - Guideline and the Capital Treatment of Crypto-asset Exposures (Insurance) - Guideline* (the OSFI Guidelines). As NRF previously analyzed, the OSFI Guidelines set out how FRFIs must treat exposures to crypto-assets for purposes of regulatory capital and liquidity requirements, and establish exposure limits and notice obligations.

Under this risk-based framework, tokenized traditional assets (Group 1a assets) are generally subject to the same capital treatment as equivalent traditional assets, reflecting comparable legal rights and exposure to credit and market risks. Other categories of crypto-assets are subject to differentiated treatment depending on their characteristics and risk profile: while certain value referenced crypto-assets (Group 1b) may receive treatment similar to their reference assets where conditions are met, more speculative crypto-assets (particularly Group 2 assets) are subject to stricter capital treatment, including deductions from capital in some cases.

The distinction between these categories also informs OSFI's approach to liquidity requirements. In particular, Group 1a crypto-assets may, under certain circumstances, qualify as high-quality liquid assets, notwithstanding the relative lack of historical data for crypto-assets. In addition, Group 1a tokenized claims on a bank may be treated as unsecured funding instruments, while certain value referenced crypto-assets, including some stablecoins, may be treated similarly to securities where specified conditions are satisfied.

Finally, it is worth noting that the Autorité des marchés financiers, the Quebec financial regulator, has recently published a similar guideline regarding the prudential treatment of crypto-asset exposures applicable to insurers and other financial institutions under its supervision, as previously examined by NRF.

IV. Comparative analysis between the Canadian and American regulatory frameworks

The Canadian and US regulatory approaches to tokenization share a foundational principle: both treat tokenized financial assets as subject to existing financial regulatory frameworks governing their traditional forms. In Canada, the CSA, CIRO and OSFI have affirmed that existing securities, banking and payments legislation applies to tokenized instruments, with the "digital wrapper" not altering underlying legal rights, insolvency treatment or capital treatment. In the United States, the Federal Banking Agencies, SEC and CFTC have similarly adopted technology-neutral approaches, confirming that tokenized securities are subject to the same regulatory framework, including capital, registration, disclosure and custody requirements, as their non-tokenized equivalents.

Despite this shared foundation, the two regimes differ markedly in maturity. The United States has issued detailed, sector-specific guidance across multiple agencies, including the CFTC's tokenized collateral framework, SEC classifications and custody guidance, DTCC no-action relief, and coordinated interagency interpretations. By contrast, Canadian regulators remain at a predominantly consultative stage, with the CSA having issued only limited exemptive relief for pilot projects and CIRO's custody framework expressly described as interim guidance.

Notable regulatory gaps persist in both countries. The CSA's and CIRO's guidance do not address the use of tokenized assets as collateral, an area in which the CFTC has provided detailed direction. With respect to prudential capital treatment, both regimes provide that eligible tokenized securities conferring identical legal rights receive the same regulatory capital treatment as their traditional equivalents, including for purposes of recognition as "financial collateral." Both frameworks generally reflect the Basel Committee on Banking Supervision's approach to tokenized assets. However, OSFI's framework extends to liquidity treatment and exposure limits for a broader range of crypto-asset categories, whereas the Federal Banking Agencies' FAQs are more targeted: they clarify the risk-based regulatory capital treatment of eligible tokenized securities that confer legal rights identical to their non-tokenized forms, but do not establish a comprehensive prudential framework for regulatory capital or liquidity treatment of tokenized securities.

V. Concluding remarks

Neither jurisdiction has yet established a comprehensive, permanent regulatory framework purpose-built for tokenization, and questions of interoperability, settlement finality and governance remain unresolved in both regimes. In the United States, near-term adoption appears most likely where tokenization is integrated into existing regulated infrastructures, such as FCM collateral workflows and DTC settlement services, rather than through fully disintermediated markets. The asymmetry in regulatory development may allow US infrastructure to gain broader international adoption, potentially influencing the ability of Canadian market participants to shape emerging industry norms.

he trajectory of tokenization will depend in part on how existing market intermediaries adapt and how new participants emerge. Traditional actors, including custodians, central securities depositories, transfer agents and clearing houses, will need to evolve their operations to accommodate DLT-based infrastructure. Concurrently, new entrants offering tokenization platforms, digital custody and blockchain-based settlement may reshape competitive dynamics and introduce new forms of systemic interdependency.

Ultimately, the commercial viability and scalability of tokenization will determine its long-term trajectory. While the ecosystem remains nascent, challenges relating to interoperability, settlement frameworks and regulatory fragmentation continue to constrain broader adoption. Market participants and their advisors should monitor these developments closely and engage proactively with regulators as the regulatory frameworks for tokenized financial assets in the United States and Canada continue to take shape.

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